

The Real Cost of Manual AR Follow-Up

A simple framework for calculating what manual collections is actually costing your business.

Step 1: Calculate the Labor Cost

- [] **Hours per week:** How many hours does your AR team spend pulling aging reports, drafting reminder emails, and re-sending invoices?
- [] **Fully loaded hourly rate:** Include salary, benefits, and overhead — not just base pay.
- [] **Weekly cost:** Multiply hours by rate. Most companies find this is meaningfully higher than expected once calculated directly.

Step 2: Calculate the DSO Cost

- [] **Current DSO:** What's your actual Days Sales Outstanding today?
- [] **Target DSO:** What would it be if follow-up never lapsed, even once?
- [] **Cash flow impact:** Every day of DSO reduction frees up working capital equal to $(\text{annual revenue} / 365)$ — a number worth calculating exactly for your business.

Step 3: Calculate the Error Cost

- [] **"Resend the invoice" replies:** How often does a customer reply asking for a document that should have been attached the first time?
- [] **Time lost per incident:** Each reply-and-resend cycle typically adds days to that specific payment, compounding across every account it happens to.

What Automation Actually Changes

- [] Continuous monitoring of Customer Ledger Entries, not a manual report pulled when someone remembers to.
- [] Every statement automatically includes the original invoice, eliminating the most common reason payments stall.
- [] Your AR team's time shifts from routine follow-up to handling genuine exceptions only.

RAP deploys quickly alongside your existing BC environment, starting at \$400/month.

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